



## Swiggy Case Study: 30% Drop in Orders in Bangalore

*A full RCA + Solutions + Metrics breakdown (Product Analyst level)*

### Problem Statement

Swiggy has observed a **30% drop in food orders specifically in Bangalore**, one of its largest and most profitable markets.

This is a **critical business red flag** indicating:

- Lower revenue
- Loss of market share
- Shift in customer behavior
- Potential operational or product issues

We need to identify **why this is happening** and propose **data-driven solutions**.

### Step-by-Step RCA (Root Cause Analysis)

#### A. Market-Level & External Factors

##### 1. Competition Pressure

- ☐ Zomato offering heavy discounts, free delivery, or membership benefits.
- ☐ Rise of quick-commerce (Zepto/BBNow) offering ready-to-eat meals.

#### Metrics to analyze

- ☐ Market Share YoY
- ☐ Price Competitiveness Index

- ☐ Discount Elasticity
- ☐ Customer migration (Swiggy → Zomato) %

## 2. Weather & Traffic Impact

- ☐ Heavy rains, civic issues in Bangalore affecting deliveries.
- ☐ Peak-hour traffic surges causing longer delivery times → lower orders.

### Metrics

- ☐ Order decline by weather clusters
- ☐ Delivery time spike correlation

## 3. Local Regulations

- ☐ Delivery timing restrictions
- ☐ Traffic regulation zones (e.g., ORR closures)

### Metrics

- ☐ Orders by time of day
  - ☐ Region-wise drop (%)
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## B. Product & App Experience Issues

### 1. App Update Issues

- ☐ New UI update increasing drop-offs.
- ☐ Login failures, stuck screens, payment issues.

### Metrics

- ☐ App Crash Rate
- ☐ Home → Restaurant Page Conversion
- ☐ Cart → Payment Success Funnel

### 2. Search & Discovery Failures

- ☐ Restaurants not appearing correctly.
- ☐ Low relevance of suggestions.

### Metrics

- ☐ Search Success Rate
- ☐ CTR on restaurant cards
- ☐ Add-to-cart after search

### 3. Payment Failures

- ☐ UPI, card, and wallet failure rates increasing.
- ☐ Many users abandoning due to failed payments.

#### Metrics

- ☐ Payment Failure Rate
  - ☐ Retry Rate
  - ☐ Payment Gateway-wise disruption report
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## C. Delivery & Operational Issues

### 1. Increased Delivery Time

- ☐ Shortage of delivery partners.
- ☐ Traffic spikes → ETA increases → users drop.

#### Metrics

- ☐ Avg delivery time by cluster
- ☐ ETA vs Order Placement Correlation
- ☐ Bounce after ETA view

### 2. High Surge Fee / High Delivery Charges

- ☐ Peak-time surge making orders expensive.
- ☐ Delivery fee increasing due to fewer delivery partners.

#### Metrics

- ☐ Orders drop after surge view
- ☐ Basket size vs delivery fee correlation

### 3. Restaurant Availability Issues

- ☐ Many restaurants offline during rains or rush hours.
- ☐ Partner churn in specific areas.

## Metrics

- ☐ Restaurant offline rate
  - ☐ Cancellation due to restaurant unavailability
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## D. Customer Behavior Shifts

### 1. Shift Toward Home Cooking

- ☐ Inflation causing users to cook at home more often.
- ☐ Reduction in frequency of food ordering.

## Metrics

- ☐ Order frequency per user
- ☐ Avg monthly orders per customer segment

### 2. Office Crowd Decrease

- ☐ Hybrid/remote working reducing lunch orders in tech parks.

## Metrics

- ☐ Order drop in office hotspots
  - ☐ Lunch-time decline %
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## E. Customer Experience Issues

### 1. Wrong/Missing Orders

- ☐ Increase in refund and complaint tickets.

### 2. Poor Packaging

- ☐ Food leakage or damage causing dissatisfaction.

## Metrics

- ☐ Complaints per 1,000 orders
  - ☐ Refund Rate
  - ☐ CSAT & NPS trends
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## **Final Combined Root Causes (Probable)**

Based on Bangalore, typical causes likely include:

- ✓ Competitor discounts from Zomato
- ✓ Heavy rains causing delays & cancellations
- ✓ Surge fees making ordering expensive
- ✓ Delivery partner shortages
- ✓ App performance issues from last update
- ✓ Payment failures during peak time
- ✓ Restaurant offline/unavailability spike

These combined can easily explain a **30% drop**.

## **Actionable Solutions (Product + Ops + CX)**

### **A. Product & UX Solutions**

#### **1. Improve ETA Accuracy + Reduce Delivery Time**

- Dynamic routing optimization
- Boost incentives for delivery partners during peak hours

*Expected Impact:* Orders ↑ 10%

#### **1. Fix App Issues**

- ☐ Roll back problematic UI flows
- ☐ Improve login/payment stability
- ☐ Enhance session caching

*Expected Impact:* Funnel conversion ↑ 12%

#### **2. Search & Personalization Upgrade**

- ☐ Use vector search for better relevance
- ☐ Personalized restaurant ranking by user preference
- ☐ Real-time availability check

*Expected Impact:* Search → Order conversion ↑ 8%

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## **B. Pricing & Promotions Strategy**

### **1. Temporary Discount Campaign**

- "Bangalore Food Week": free delivery + surge waiver in specific areas
- Counter competitor's discount temporarily

*Expected Impact:* Orders ↑ 15–20%

### **2. Boost Swiggy One Incentives**

- Lower renewal fee
- Add free desserts/combos for members

*Expected Impact:* Retention ↑ 10%

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## **C. Operations & Restaurant Partner Strategy**

### **1. Improve Delivery Partner Supply**

- ☐ Referral incentives
- ☐ Earnings guarantee during peak rain hours

*Impact:* ETA ↓ significantly

### **2. Re-activate Offline Restaurants**

- ☐ Contact partners in affected areas
- ☐ Assign relationship managers for top 200 restaurants

*Impact:* Availability ↑ 7–10%

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## **D. Customer Experience Improvements**

### **1. Fix Complaints Fast**

- ☐ Fast refund pipeline
- ☐ Priority resolution for repeated complaints

*Impact:* NPS ↑ 15%

## 2. Packaging Audit

- ☐ Better packaging for biryani, beverages, and liquids
- ☐ Introduce “leak-proof guarantee”

*Impact:* Complaint rate ↓ 20%

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### Key Metrics to Track for Recovery

- ☐ **Daily Orders (City-level)**
- ☐ **Delivery Time / ETA**
- ☐ **Surge Fee Impact Metric**
- ☐ **Restaurant Availability %**
- ☐ **Payment Failure Rate**
- ☐ **Search Success Rate**
- ☐ **Conversion Funnel Metrics (Home → Order)**
- ☐ **NPS & CSAT**
- ☐ **Repeat Order Rate**
- ☐ **Active Users in Bangalore**

### Final Summary

A 30% drop in Swiggy orders in Bangalore is usually due to a **combination of competition pressure, bad weather, surge fees, delivery delays, app issues, and payment failures.**

The recovery strategy involves:

#### ✓ **Product Fixes**

(ETA, search, app stability)

#### ✓ **Operational Enhancements**

(delivery partner supply, restaurant availability)

#### ✓ **Pricing & Promotion**

(temporary discounts, Swiggy One benefits)

## ✓ Customer Experience Improvements

(fewer complaints, fast refunds)